IB DIGITAL SOCIETY · ECONOMIC CONTEXT

One click. Four growth choices. Different consequences.

Northstar Stationery wants to grow. Your job is to identify what changes and judge who carries the new cost or risk.

PREDICT: Which choice adds the most control?



Fictional case · chapter-aligned teaching lesson

By the end, you can explain and judge a growth decision

1 REMEMBER

Four growth strategies

→ 2 UNDERSTAND

What changes in the business

→ 3 APPLY

Classify a new case

→ 4 JUDGE

Benefit, cost, stakeholder, evidence

The core question

What relationship changed, and what new responsibility came with it?

We will use that question on every example.

A digital sale moves goods, money, data and control

INPUT	item, quantity, customer
PROCESS	payment and stock rules
OUTPUT	order, receipt, fulfilment
FEEDBACK	reorder and demand data



Control sits with whoever can change the rules or access the data.

Northstar sells notebooks through one simple chain

Paper supplier
materials

→

Northstar
notebooks

→

Courier
delivery

→

Online customer
one audience

Northstar controls

product design, price, inventory and the customer relationship

Northstar depends on **the supplier and courier**

Keep this baseline in view. Every strategy changes one relationship.

Horizontal growth adds a related offer for the same customers

BEFORE

Northstar
notebooks

→

Online customer
buys notebooks

AFTER

Northstar
notebooks + pens

→

Same customer
larger basket

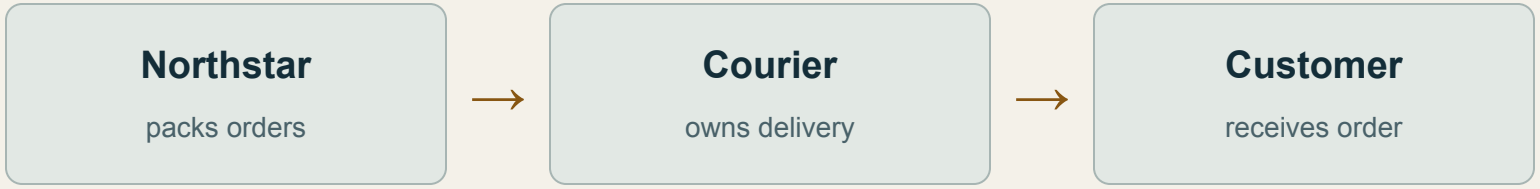
Benefit: more revenue from the existing audience

New responsibility: forecast and hold more kinds of stock

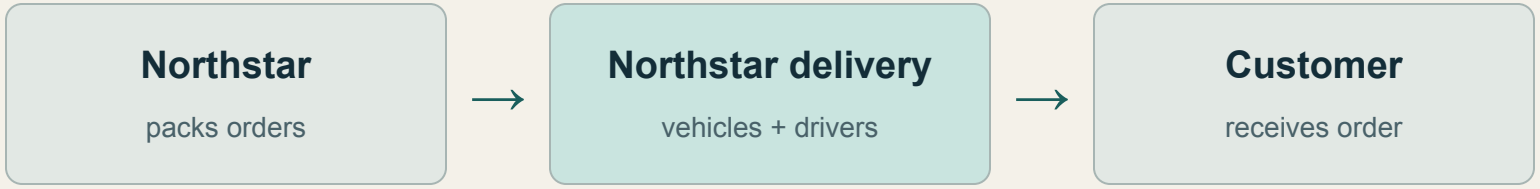
Explain the changed relationship before naming the strategy

Vertical growth brings another stage of the chain inside the business

BEFORE



AFTER



Benefit: greater control over timing and service

New responsibility: vehicles, drivers, safety and fixed costs

Explain the changed relationship before naming the strategy

Concentric growth reuses expertise for a related new audience

BEFORE

Northstar skills
stationery + packing

→

Online shoppers
individual orders

AFTER

Same expertise
bulk school kits

→

School buyers
seasonal contracts

Benefit: a new market using familiar capabilities

New responsibility: tenders, bulk scheduling and school budgets

Explain the changed relationship before naming the strategy

Conglomerate growth enters an unrelated industry

BEFORE

Northstar
stationery operations

→

Customers
buy stationery

AFTER

Northstar group
stationery + bike repair

→

Two markets
different needs

Benefit: revenue is less dependent on one industry

New responsibility: new expertise, equipment and coordination

Explain the changed relationship before naming the strategy

Four strategies answer four different growth questions

STRATEGY	DECISION QUESTION	CHANGES	NEW RISK
HORIZONTAL	What else can we sell to this audience?	**offer**	stock complexity
VERTICAL	Which stage can we bring inside?	**chain boundary**	fixed cost + operations
CONCENTRIC	Where else can we use this expertise?	**audience**	new buyer requirements
CONGLOMERATE	Which unrelated industry can we enter?	**industry**	new capabilities

Classify the move named in the case, even when the company uses several strategies.

A company can use more than one growth strategy

Northstar adds pens, buys a courier, then opens a bike shop.

Student A “Northstar uses conglomerate growth.”

Student B “The bike-shop move is conglomerate growth.”

Which answer is more precise? Underline the words that make it stronger.

Two bakeries make different growth moves

CASE A

A bakery buys its flour supplier.

Name the strategy. Explain which boundary changed.

CASE B

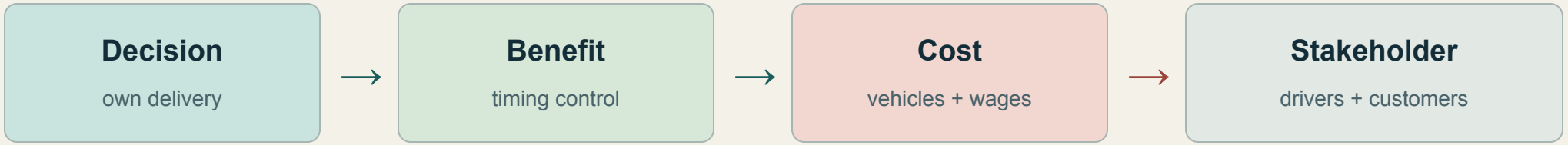
A bakery opens a phone-repair shop.

Name the strategy. Explain which capability must be added.

Success requires the label and the structural evidence.

If you change your answer, write what evidence changed your mind.

A growth strategy transfers benefits, costs and power



Strong judgement

Under these assumptions, owning delivery improves control for Northstar, but shifts safety, employment and fixed-cost responsibilities inside the company.

Evidence still needed

actual delivery cost, worker conditions and customer outcomes

Test one decision, then explain the bottleneck

1 **PREDICT** Which result will improve?

2 **CHANGE** one growth strategy or staffing choice

3 **OBSERVE** orders, surplus and first-round cash

4 **EXPLAIN** result, bottleneck and limitation



Submit one individual explanation after the pair trial.

More demand can exceed capacity and reduce cash

100

orders completed

$180

operating surplus

–$1,020

first-round cash

What the model shows

capacity, variable costs and setup costs interact

What it omits

well-being, fairness, injury, loyalty and long-term productivity

Correction prompt: rewrite any claim that treats a model result as a real-world fact.

Performance claims and worker outcomes require different evidence

COMPANY CLAIM

Amazon says Sequoia can identify and store incoming inventory faster.

REGULATORY RECORD

The US Department of Labor settlement requires corporate ergonomic measures.



Question: Who controls the system, who carries the risk, and what evidence would show improvement?

A music service buys a ticket-delivery business

The music service already sells subscriptions. It now owns the digital system that issues and delivers event tickets.

1 **Classify**

the growth move

2 **Explain**

the changed boundary

3 **Analyse**

one stakeholder trade-off

4 **Limit**

the judgement with missing evidence

Success: strategy + structural evidence + stakeholder + fact needed

ASSIGNMENT LAUNCH · SUPPLY CHAIN DETECTIVE

Follow one order beyond the screen

1	BOUND	one product or digital title
2	TRACE	goods or service, money, data, control
3	EXPLAIN	one consequential digital decision
4	JUDGE	cost, benefit and stakeholder implication

Use verified sources. Label any inference.

Assignment handout supplies planning frame and evidence checklist



What changed, who gained control, and who gained responsibility?

RETRIEVE	Name the four strategies without notes.
EXPLAIN	Choose one. Describe the before and after relationship.
JUDGE	Name one stakeholder benefit and one new obligation.

Next lesson: classify a changed case before reopening notes, then correct with evidence.